Gerald M. Loeb

Gerald Loeb made a name for himself as a premier marketer of investments, and *Forbes* magazine once called him "the most quoted man on Wall Street." His 1935 book, *The Battle for Investment Survival,* is considered a classic, and the first edition sold over 250,000 copies. One reason for its success was that it was written in zippy, accessible language that didn't require the intellectual capacity that Benjamin Graham's 1934 book, *Security Analysis,* did. Loeb's forte was mass marketing, reaching your average Joe Investor. Consider the following metaphor aimed at the novice investor: "One must confine one's first efforts at cooking to boiling eggs; one does not begin with Baked Alaska, no matter how fine a desert the latter may be."

Loeb, whose father, a French wine merchant, lost his business in the 1906 San Francisco earthquake, struck out on an investment career in 1921. His first job was as a bond salesman, and he was known for refusing to sell any security he didn't trust. Within a few years he found himself in New York City with E. F. Hutton & Co., where he was made a partner at the young age of 30. Like a few other lucky ones, Loeb foresaw the 1929 crash, and he sold all of his and his clients' holdings before it hit. That year he was also named vice-chairman, a position he held until he retired in 1965. In the 1930s and later, he excelled as a savvy marketer for a battered and bruised industry, and he wrote several more books, as well as a national newspaper column under the title, "Loeb on Wall Street."

Although he worked for a brokerage house, Loeb forthrightly said, "People expect too much of investment. They think, incorrectly, that they must always keep their money 'working.' " Those who saved and were able to limit their losses to inflation were doing just fine, according to Loeb. While his writings have been criticized for lacking technical instruction, he makes up for it with practical advice, such as: "Travel is a wonderful education and education is a wonderful hedge these days to those who can capitalize on it." In *Importance of Correct Timing,* Loeb offers some pragmatic insight into why an investor's mindset makes selling more difficult than buying.